EQUITY RESEARCH · COMPANY DEEP DIVE

Meta Platforms, Inc. (META.US)

OVERWEIGHT
Blended Target: $618.42
DCF + Comps + Analyst (see cross-check table)
Implied upside: +9.1%

Communication Services · Internet Content & Information
Large Cap (>$200B) · Report Date: June 12, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-12

Price (Jun): $566.98

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target $618.42 (+9.1% vs $566.98); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Strong top-line growth (33.1% YoY)

INVESTMENT THESIS / EXECUTIVE SUMMARY

Meta Platforms, Inc. (META) — Communication Services. Meta Platforms, Inc. engages in the development of products that enable people to connect and share with friends and family through mobile devices, personal...
OVERWEIGHT rating; blended target $618.42. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$1.44T	Shares Out.	2196.0M
52-Week Range	$520.26 – $796.25	P/E (TTM)	20.6x
P/B	5.9x	Beta	1.23
Avg Volume	17.17M	Analyst Rec.	Strong_Buy
Revenue (TTM)	$214.96B	Rev Growth	+33.1%
Op. Margin	40.6%	FCF (TTM)	$46.11B

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	164,501	200,966	267,486	331,468	389,455
Revenue Growth (%)	N/A	22.2%	33.1%	23.9%	17.5%
Net Income ($M)	62,360	60,458	80,470	99,718	117,163
Net Income Growth (%)	N/A	-3.1%	33.1%	23.9%	17.5%
Gross Margin (%)	81.7%	82.0%	81.9%	81.9%	81.9%
Net Margin (%)	37.9%	30.1%	30.1%	30.1%	30.1%
ROE (%)	34.1%	27.8%	37.0%	41.6%	46.6%
EPS ($)	28.40	27.53	36.64	45.41	53.35
Book Value / Share ($)	83.17	98.92	98.92	109.06	114.52
P/E (x)	19.97	20.59	15.47	12.49	10.63
P/B (x)	6.82	5.73	5.73	5.20	4.95
Dividend Yield (%)	37.0%	37.0%	37.0%	37.0%	37.0%

Page 2 of 2 · Meta Platforms, Inc. (META) · Valuation · Industry · Peers · Data as of 2026-06-12 · Q4 FY2025

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	$473.70	-16.5%	28%	Included in blend
Comps — P/E (peer median)	$576.64	+1.7%	—	Peer median P/E 21.0x
Comps — EV/EBITDA (peer median)	$833.95	+47.1%	—	Peer median 17.8x
Comps — P/S (peer median)	$440.53	-22.3%	—	Peer median P/S 4.5x
Comps — Blended (avg. of available multiples)	$576.64	+1.7%	44%	Anchor multiple-based value
Analyst consensus (Yahoo Finance)	$828.80	+46.2%	28%	Included in blend
Blended target (weighted)	$618.42	+9.1%	100%	DCF 28% + Comps 44% + Analyst 28%
Audit (≥30% vs price)	—	—	—	Triggered (|upside| ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	10.76%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	$46.11B
PV explicit (5Y)	$250.91B
PV terminal	$789.37B
Equity value (adj.)	$1.04T
Implied price	$473.70
vs. current	-16.5%

INDUSTRY ANALYSIS

1. Industry Overview
Meta Platforms, Inc. engages in the development of products that enable people to connect and share with friends and family through mobile devices, personal computers, virtual reality (VR) headsets, and AI glasses in the United States, Canada, Europe, Asia-Pacific, and internationally. It operates through two segments, Family of Apps (FoA) and Reality Labs (RL). The FoA segment offers...

2. Key Trends
• Strong top-line growth (33.1% YoY)
• High operating leverage (40.6% margin)
• Above-market volatility (β=1.23)
• Sector: Communication Services | Industry: Internet Content & Information

3. Risk Factors
• Standard sector cyclicality and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
GOOGL	Alphabet Inc.	$4.39T	27.5x	26.7x	37.9%	+21.8%
DIS	Walt Disney Company (T	$173.72B	16.0x	11.3x	11.5%	+6.5%
NFLX	Netflix, Inc.	$338.30B	25.9x	24.3x	28.5%	+16.2%
CMCSA	Comcast Corporation	$87.52B	4.8x	4.8x	15.0%	+5.3%
META*	Meta Platforms, Inc.	$1.44T	20.6x	13.3x	32.8%	+33.1%

* Subject company. P/e in line with peer median; stronger profitability than peers. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.